

1.

CASE #	CASE NAME	HEARING NAME
CVRI2406312	VALENZUELA vs HERRERA VASQUEZ	MOTION TO WITHDRAW AS COUNSEL

Tentative Ruling:

An attorney's motion to be relieved as counsel is governed by CRC 3.1362. The motion must be directed to the client and must be made on the mandatory Judicial Council Form Civil MC-051. No memorandum of points and authorities is required. The motion must be supported by a declaration on Judicial Council Form Civil MC-052. The declaration must state in general terms (without compromising the confidentiality of the attorney-client relationship) why a court order is required, as opposed to a substitution by mutual consent. Where the ground for withdrawal is a "conflict of interest" with the client, the attorney must describe the general nature of the conflict as fully as possible, within the confines of the attorney-client privilege (Manfredi & Levine vs. Superior Court (Barles) (1998) 66 Cal. App. 4th 1128, 1134). As a practical matter, attorneys moving to withdraw on the grounds of a conflict of interest or for other privileged reasons frequently offer to provide additional details *in camera*, if the Court so desires.

The Complaint in this matter was filed on 11/8/2024. The First Amended Complaint was filed on 12/30/2024. Mr. Babos substituted into this matter on 4/21/2026 and within 5 months and within one month of the 10/2/2026 trial date, Mr. Babos filed the instant motion on 9/10/2026. The Court does not find that the motion is timely. Motion to be relieved is denied. 10/2/2026 trial date is confirmed.

2.

CASE #	CASE NAME	HEARING NAME
CVRI2602004	SERRANO VS ROYAL PLAZA TEXTILES, INC.	MOTION TO COMPEL ARBITRATION

Tentative Ruling:

Moving party: Defendants Royal Plaza Textiles, Inc. and Abdel Ghunam
Responding party: Plaintiff Valerie Serrano

This is an employment law case where Plaintiff Valerie Serrano alleges she was subjected to sex/gender discrimination, disability discrimination, harassment, retaliation, and wrongful termination. Plaintiff began her employment with Defendant Royal Plaza Textiles, Inc. in September 2017 as an administrative assistant. As part of her on-boarding, Plaintiff signed an Arbitration Agreement. Plaintiff again signed an arbitration agreement in 2018, which requires arbitration of "any dispute, claim or controversy arising out of or in any way connected with any dispute relating to the terms and/or conditions of employment." (Ghunaim Dec. Ex. B.)

Defendant brings the instant motion to compel Plaintiff to arbitration. Defendant argues the parties entered into a valid arbitration agreement and Plaintiff's employment-related claims fall within the scope of that agreement. Defendant further argues the agreement applies to all Defendants and contends the agreement is not unconscionable.

Plaintiff opposes the motion. Plaintiff argues her claims for sexual harassment fall under the Ending Forced Arbitration of Sexual Assault and Sexual Harassment Act (EFAA) which requires the matter be heard in the present court. Plaintiff also argues that the arbitration agreement fails because it is unconscionable. Finally, Plaintiff argues that Defendant Abdel Ghunaim never signed the agreement in his individual capacity and, as a result, he cannot compel arbitration of the claims against him.

Analysis

I. Compelling Arbitration

Under California law, Code of Civil Procedure §1281.2, a party to an arbitration agreement may move to compel arbitration if another party to the agreement refuses to arbitrate, and the court shall order the parties to arbitrate if it determines that an agreement to arbitrate exists, unless it determines that: (a) The right to compel arbitration has been waived by the petitioner; (b) Grounds exist for the revocation of the agreement; or (c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact.

A proceeding to compel arbitration is in essence a suit in equity to compel specific performance of a contract. (*Freeman v. State Farm Mutual Auto Insurance Co.* (1975) 14 Cal.3d 473, 479). If there is a dispute as to the enforceability of an agreement to arbitrate, an evidentiary hearing is required. The facts are to be proven by affidavit or declaration and documentary evidence with oral testimony taken only in the court's discretion. (*Sonic-Calabasas A, Inc. v. Moreno* (2013) 57 Cal.4th 1109, 1157). The party petitioning for arbitration has the burden of proving that there is a valid arbitration agreement. (*Higgins v. Superior Court* (2006) 140 Cal.App.4th 1238, 1247.) The opposing party has the burden of proving that the arbitration provision is unenforceable. (*Ibid.*) "In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination." (*Rosenthal v. Great Western Finance Securities Corp.* (1996) 14 Cal.4th 394, 413-414).

The Federal Arbitration Act (FAA) (9 U.S.C. §§1 et seq.) also authorizes enforcement of arbitration clauses unless grounds exist in law or equity for the revocation of any contract. (9 U.S.C. §2). The enforcement language of the FAA is almost identical to Code of Civil Procedure, section 1281. In situations governed by the FAA, conflicting state law is preempted in either state or federal courts. (*Volt Info. Sciences, Inc. v. Board of Trustees of Leland Stanford Junior University* (1989) 489 U.S.

468, 477). To compel arbitration under the FAA, a finding must be made that an agreement exists for arbitration between the parties and the agreement covers the dispute. (*AT&T Technologies, Inc. v. Communications Workers of America* (1986) 475 U.S. 643, 648-49).

The leading U.S. Supreme Court case discussing the scope of arbitration clauses held that the enforcement of an arbitration clause is a matter of ordinary state-law contract principles. (*AT&T Mobility LLC v. Concepcion* (2011) 131 S.Ct. 1740, 1745 (*Concepcion*); *First Options v. Kaplan* (1995) 514 U.S. 938, 944.) Arbitration agreements are on equal footing with other contracts and should be enforced according to their terms. (*Concepcion*, 131 S.Ct. 1740, 1745.) The phrase in the FAA, 9 U.S.C. §2, that arbitration agreements can be declared unenforceable on grounds of law or equity for revocation permits invalidating such agreements on contract defenses of fraud, duress or unconscionability. (*Concepcion*, 131 S.Ct. 1740, 1746.)

“Under both federal and California law, arbitration agreements are valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.” (*Armendariz v. Foundation Health Psychcare Services* (2000) 24 Cal.4th 83, 98 (*Armendariz*).)

Similar to California law, any doubt about the arbitration of a dispute under the FAA is resolved in favor of arbitration. (*AT&T Techs. v. Communs. Workers of America*, *supra*, at p. 650.)

In the summary proceedings on a motion to compel arbitration, “the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court’s discretion, to reach a final determination.” (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.)

II. Existence of Arbitration Agreement

The party seeking to compel arbitration has the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence. (*Ruiz v. Moss Bros. Auto Group* (2014) 232 Cal.App.4th 836, 842.)

In support of the motion, Defendant offers Abdel Ghunaim’s declaration. Ghunaim was Plaintiff’s direct supervisor beginning in April 2023. (¶7.) Ghunaim explains Plaintiff executed a written arbitration agreement on March 12, 2018. Ghunaim attaches a copy as Exhibit B. (¶12.) Plaintiff acknowledges she signed the updated employee handbook and arbitration agreement on March 12, 2018. (Serrano Decl. ¶¶5-6.) Plaintiff does not dispute that she signed the applicable agreement. The parties agree an arbitration agreement exists.

The issue is whether the case can be submitted to arbitration given the nature of Plaintiff’s claims.

III. EFAA

The next issue is whether Plaintiff's claims can be compelled to arbitration given the EFAA's prohibition on arbitrating claims for sexual harassment or assault.

The EFAA provides: "Notwithstanding any other provision of this title, at the election of the person alleging conduct constituting a sexual harassment dispute or sexual assault dispute . . . no predispute arbitration agreement or predispute joint-action waiver shall be valid or enforceable with respect to a case which is filed under Federal, Tribal, or State law and relates to the sexual assault dispute or the sexual harassment dispute. (9 U.S.C. § 402(a).) A "sexual harassment dispute" is "a dispute relating to conduct that is alleged to constitute sexual harassment under applicable Federal, Tribal, or State law." (9 U.S.C. § 401(4).)

Two recently published cases make clear that the EFAA applies to the entire case, even if there is only one claim for sexual harassment: "Under the EFAA, when a plaintiff's lawsuit contains at least one claim that fits within the scope of the act, the arbitration agreement is unenforceable as to all claims asserted in the lawsuit." (*Liu v. Miniso Depot CA, Inc.* (Oct. 7, 2024) 2024 WL 4446693, at *4 ("*Liu*"); *see also Doe v. Second Street Corp.* (Sept. 30, 2024) 2024 WL 4350420 (holding that "[b]y its plain language . . . the [EFAA] applies to the entire case, not merely to the sexual assault or sexual harassment claims alleged as part of the case."))

Plaintiff's sixth cause of action is a claim for hostile work environment harassment in violation of FEHA. Plaintiff alleges when she informed Ghunaim that complications from her c-section birth would require extended maternity leave, he responded with hostility and anger. (Complaint ¶88.) Plaintiff alleges Ghunaim treated her pregnancy-related medical issues as a business burden rather than a protected condition and openly resented her. (¶88.) Plaintiff argues her claim for discrimination and harassment on the basis of her sex constitutes a "sexual harassment dispute" within the meaning of EFAA.

Plaintiff relies on *Ding v. Structure Therapeutics, Inc.*, NASDAQ (9th Cir. August 19, 2026) No. 25-1532, 2026 WL 2420555. There, the Ninth Circuit noted the California Supreme Court has found a hostile work environment can be created even if the plaintiff is never subjected to sexual advances. (*Miller v. Dep't of Corr.* (2005) 36 Cal.4th 446 (citing *Accardi v. Superior Ct.* (1993) 17 Cal.App.4th 341 ("Sexual harassment does not necessarily involve sexual conduct. It need not have anything to do with lewd acts, double entendres or sexual advances. Sexual harassment may involve conduct, whether blatant or subtle, that discriminates against a person solely because of that person's sex.")) The Ninth Circuit noted "a sex-based hostile work environment claim amounts to sexual harassment under California law even when the harassing conduct is not sexual in nature." (*Ding, supra*, at *6.) The Plaintiff in *Ding* plausibly pled a sex-based hostile work environment claim under FEHA. (*Ibid.*) She alleged her superior wanted to hire a man for her position, hired her due to the Board's emphasis on gender diversity, and then began sidelining her and diminishing her job responsibilities. (*Ibid.*) *Ding*'s supervisor made comments about her being more sensitive than others and prevented her from attending executive meetings. (*Ibid.*) Here, Plaintiff has alleged similar claims based on her sex in that Ghunaim subjected Plaintiff to a hostile work

environment due to her sex/gender and/or pregnancy. Plaintiff alleges she would not have suffered the same harassment and discrimination had she been a man. (Comp. ¶¶87-91.) Plaintiff has sufficiently pled a sexual harassment dispute under EFAA and, as a result, the instant motion must be denied.

Summary

Deny the motion as the EFAA prohibits arbitration of Plaintiff's claims.